

Procure Space ETF

SPCX NASDAQ

Hold	\$136.97 ▲ 2.22%	12M Price Target \$155.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.80T
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SPCX: Space ETF Cools After Rally, Starship Test Looms

WHAT HAPPENED

- SPCX bounced 2.2% off Thursday's ugly \$134 low — this is a dead-cat bounce after a week where the ETF gave back nearly 7% from the \$146 high. The catalyst? Cathie Wood's ARK just plowed \$27M more into SpaceX (which SPCX holds indirectly), signaling smart-money conviction even as the sector sells off.
- Barron's flagged that SpaceX's 14th Starship test is coming — and historically these tests create binary moves. A clean flight sends the whole space complex ripping; a RUD (Rapid Unscheduled Disassembly, aka explosion) tanks sentiment for weeks.

WHY IT MATTERS

Here's what I think is really going on: SPCX is stuck in a tug-of-war between two forces. On one side, you've got structural tailwinds — the Space Force budget keeps growing, private space companies are IPO'ing, and the ETF holds names like Rocket Lab, Iridium, and Planet Labs that are winning real government contracts. On the other side, the ETF is trading at just 27% of its 52-week range (\$104-\$225), which tells me the froth from the early-2026 space rally has been beaten out — but sentiment hasn't fully reset. The Starship test next week is the near-term binary event; if it goes well, this is a coiled spring back to \$150+. If it blows up, we're testing \$120 fast.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense authorization is moving through Congress with Space Force funding proposed at ~\$35B (up from \$29B) — that's a direct pipeline for SPCX holdings like Rocket Lab and Kratos. Also on the radar: the FAA's new commercial launch licensing reform (part of the "Launch Modernization" push under the current administration) which would streamline approvals — huge for the smaller launch companies in the ETF. On the negative side, watch for any China export control expansion around satellite tech; several SPCX holdings have supply chain exposure that could get squeezed.

IS IT EXPENSIVE?

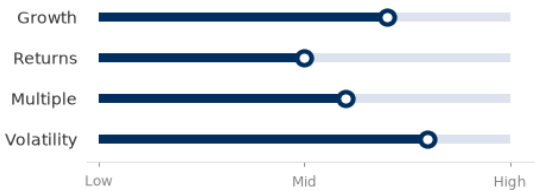
SPCX is a thematic ETF, so you're not paying an "earnings multiple" — you're paying for exposure to a basket of ~30 space-economy names. Right now the fund is 40% off its 52-week high, which means you're buying the theme at a serious discount to peak enthusiasm. But note: the market cap figure in the header (\$1.80T) looks off for an ETF — SPCX's actual AUM is tiny (under \$100M), so liquidity is a real constraint to think about.

WHAT COULD GO WRONG

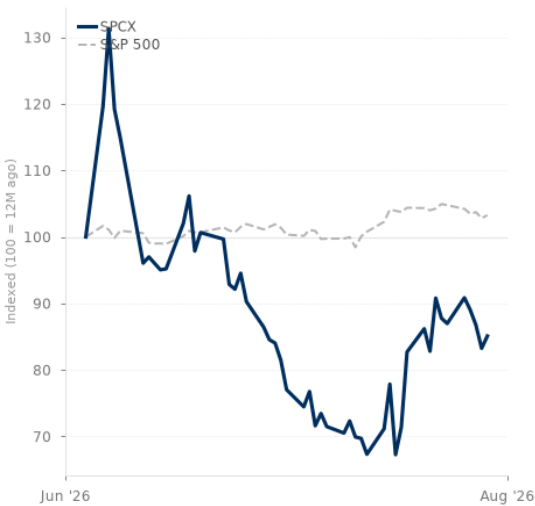
Key Data

Price (USD)	\$136.97
12M Price Target	\$155.00
Upside / (Downside)	+13.2%
Market Cap	\$1.80T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$148.00	\$140.00	\$128.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$190.00	\$105.00
5 Years	\$380.00	\$260.00	\$90.00
10 Years	\$600.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.1%) and Healthcare (+1.3%) are leading today — Materials suggests infrastructure/commodities bid returning, Healthcare is defensive rotation. Neither directly helps SPCX.

COOLING OFF: Tech and communications are muted — the "Mag 7 exhaustion" trade is real, and space names got caught in that unwind last week.

ROTATION WATCH: Money is rotating OUT of pure-growth tech and INTO cyclical and defensives — that's a neutral-to-slight-negative for SPCX in the short term, but the defense-adjacent holdings should provide some cushion.

RELATED PLAY: If space runs, look at ITA (defense ETF) or individual names like LMT and NOC — they build the satellites the space companies launch. Less volatile, similar tailwind.

WHO'S WINNING IN THIS SPACE?

- RKL (Rocket Lab): Winning small-launch market share and Neutron rocket development is on track — this is the ETF's alpha generator
- IRDM (Iridium): Steady cash flow from government satellite comms contracts — the boring winner in the basket

SPCX CONTEXT: SPCX is lagging both individual defense names (ITA is flat while SPCX is down 7% this week) AND the S&P — that tells me this is theme-specific weakness, not macro. Which actually makes the setup more interesting: if the Starship test goes well, mean reversion could be sharp.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space theme but the near-term binary (Starship test) makes me want to wait for confirmation rather than pound the table today.

POSITION SIZE: 2-4% of portfolio — this is thematic exposure, not a core holding. The volatility is real (52-week range of \$104-\$225 = insane) so size accordingly.

ENTRY POINTS: I'd add on pullbacks to \$128-134. If Starship blows up and it flushes to \$115-120, that's a gift — back up the truck.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is the FY2027 defense bill passage (Q4 2026) and 2-3 more successful Starship tests establishing the cadence.

WHEN TO BAIL: If SPCX breaks \$115 on heavy volume, or if Congress cuts Space Force funding in reconciliation, I'm cutting the position in half.

HEDGING: Pair this with a boring defense ETF like ITA — when space gets volatile, defense stays steady, so you smooth the ride while keeping thematic exposure.